

Water scarcity is a persistent issue in Australia given the relatively dry and variable climate. The emergence of climate change has exacerbated this issue. Water is a valuable commodity particularly within agriculture, which accounts for around three quarters of total use. Water is also of value to other industries, households and increasingly environmental agencies.

Australia has a number of well-developed water markets, where water rights are freely traded between end users. Water markets allow Australia's scarce water resources to be efficiently allocated between competing uses in response to fluctuations in supply and demand.

A key focus of ABARES water research is the analysis of water markets in the southern Murray–Darling Basin. ABARES undertakes modelling on water policy issues, especially in regards to the implementation and effects of the [Murray–Darling Basin Plan](#).

A summary of ABARES research outputs on water is provided below. For access to all ABARES past water research, visit the [ABARES publications library](#).

Source: <https://www.agriculture.gov.au/abares/research-topics/water>